THE UNITED REPUBLIC OF TANZANIA

PRESIDENT'S OFFICE

REGIONAL ADMINSTRATION AND LOCAL GOVERNMENT

KASULU TOWN COUNCIL

FORM FOUR PRE-MOCK EXAMINATION

CODE: 062 **BOOK KEEPING**

Time: 3:00 Hours **Monday,26.05.2025**

INSTRUCTIONS

1. This paper consists of three sections **A, B** and **C** with a total of **Nine (09)** question.
2. Answer **ALL** questions in section **A, B** and **C**.
3. Section A carries **fifteen (15)** marks section B carries **forty (40)** marks and section **C** forty-five **(45)** marks
4. Non programmable calculators may be used.
5. Cellular phones and other authorized materials are not allowed in the examination room.
6. Write your Examination Number on every page of your answer booklet (s).

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SECTION A (15 marks)

Answer all questions from this section.

1. For each of the following questions choose the most correct answer from among the given alternatives and write its letter in the answer booklet.

   (i) A firm bought machinery worth Tzs 3,200,000. It is to be depreciated at the 25% using the reducing balance method. Calculate the remaining book value of the machinery after two years.

   A. Tsz 1,600,000
   B. Tsz . 1,500,000
   C. Tzs . 2,400,000
   D. Tzs 2, 600,000
   E. Tzs 1, 400,000

   (ii) Which is the correct statement about the starting and ending dates of the government financial year in Tanzania?

   A. Starts on 1st July of every year and ends on 3oth June of the following year.
   B. Starts on 3oth July of every year and ends on 1st June of the following year.
   C. Starts on 1st January of every year and ends on 31st December of the same years.
   D. Starts on 1st July of every year and ends on 1st June of the following year.
   E. Starts on 30th June of every year and ends on 30th June of the following year.

   (iii) Where do the total of discounts allowed column in the cash book be posted?

   A. To the debit of discounts allowed account.
   B. To the debit of discounts received account.
   C. To the credit of discounts received account.
   D. To the credit of discounts allowed account
   E. To the credit of the bank account.

   (iv) Cost of building warehouse would be classified as:-

   A. Capital receipt
   B. Revenue expenditure
   C. Recurrent expenditure
   D. Revenue receipt
   E. Capital expenditure

   (v) Which account should partners prepare in order to share the profits and losses resulting from partnership business?

   A. Profit and loss account
   B. Current account
   C. Capital account

D. Profit and loss appropriation account

E. Partners subscription account.

(vi) A cheque paid by the business but not yet passed through the banking system is known as:-

A. Stale cheque

B. Dishonored cheque

C. Un presented cheque

D. Un credited cheque

E. Postdated cheque

(vii) Gladness and Erick for form one students were arguing on the primary and basic reasons of preparing the trial balance which one of the following is the basic reason:-

A. A trial balance is used present a list of debit balance.

B. A trial balance is used to check arithmetical accuracy of double entry.

C. A trial balance is used to present credit balance.

D. A trial balance is issued for internal control.

E. A trial balance is used as a tool for preparing financial statement: -

(viii) Khadija bought goods on credit from Diana store for Tzs 3,800,000, the supplier offered her a trade discount of 2%. How much would be amount due to the supplier?

A. Tzs 3,876,000

B. Tzs 3724,000

C. Tzs 3,800,000

D. Tzs 3,673, 000

E. Tzs 3, 600,000

(ix) What would be double entry for cash withdrawn from bank for business use Tzs 500,000?

A. Debit cash column Tzs 500,000, credit cash column Tzs 500,000

B. Debit drawings Tzs 500,000 , credit cash account Tzs 500,000

C. Debit bank column Tzs 500,000, credit cash caolumn Tzs 500,000

D. Debit cash column, credit bank calcumn Tzs 500,000

E. Debit bank column Tzs 500,000, credit drawings account Tzs 500,000

(x) A petty cash book is used for recording :-

A. Cash payments

B. Small cash payments

C. Bank payments

D. Small bank payment

E. Small receipts.

2. Match the items in **LIST A** with their corresponding names in **LIST B** by writing the letter of the correct response beside the item number in the booklet (s)

LIST A	LIST B
(i) An officer and his spouse together with children for fringe benefit purpose.	A. Controller and conductor general
(ii) An authority granted by the minister of finance to transfer approved funds from one vote to another.	B. Paymaster general
(iii) An officer who is responsible for controlling payment in and out of consolidated fund on behalf of national assembly.	C. Accounting officer
(iv) The top most technical body in implementing the approval a national fund.	D. Family
(v) The entries recorded in the vote book which indicate indents, requisition and local purchases order that justify transaction made in the books.	E. Child
	F. Virement
	G. Commitment
	H. Public debts
	I. National assembly
	J. Treasury

SECTION B (40 marks)

Answer all questions in this section

3. Makamu Trader was given a tack to complete double entry system on the following transactions, help him to show accounts to be debited and account to be credited.

Transition	Account to be debited	Account to be credited
(i) Bought a motor van on credit from Arusha (ii) Paid rent by cheque		
(iii) Goods taken from the business for personal use.		
(iv) Cash sales to date		
(v) Amount received from debtor by cheque.		

4. Mr. Mashaka received a bank statement from his bank and find that a cheque received from Mr. Kinubi Tzs 4,500,000 and deposited into the bank has been dishonored. Explain five reasons for Mr. Kinubi's cheque to be dishonored.

5. Enter the following transaction in petty cash book with the analysis columns for postage, travelling, cleaning , petrol and stationery. The cash float is Tzs 300,000 and should be reimbursed on 31st January 2023.

Date	Details	Amounts
01/01/2023	Received from cashier	300,000
02/01/2023	Postage.....	23,000
04/01/2023	Bus fare.....	12,000
05/01/2023	Cleaning	15,000
06/01/2023	Petrol for delivery van.....	54,000
08/01/2023	Bus fare.....	33,000
12/02/2023	Stationary.....	26,000
14/02/2023	Cleaning.....	62,000
28/01/2023	Postage	18,000

6. Your book keeper extract a trial balance on 31 December 2023 which failed to agree by Tzs 660,000 a shortage being on the credit side of the trial balance. A suspense account was opened . Later the following errors made in 2023 were found in January 2024.
   (i) Sales day book had been undercast by Tzs 200,000
   (ii) Sales of Tzs 500,000 to J. Jamal had been debited in error to J.Jumaa's account.
   (iii) Rent account had been undercast by Tazs 140,000.
   (iv) Discount received account had been undercast by Tzs 600,000.
   (v) The sale of motor vehicle at book value had been credited in error to sales account Tzs 720,000.

   Required :

   (a) Show the Journal entries necessary to correct the errors.
   (b) Draw up the suspense account after the errors described have been corrected.

SECTION C (45 marks)

Answer all questions in this section

7. On march 5th 2024 A . Joma of Mkuhungu consigned 1000 units of goods to C. Gallons of Kenya the cost price of which was Tzs 800,000 . A Joma paid the following expense .

   Carriage Tzs 200,000

   Marine insurance Tzs 80,000

   Feight charge Tzs 90,000

   On 30th June 2024. C. Gallons sent account sales to A Jome showing that 600 units were sold for Tzs 1,200,000/= and he incurred the following expenses.

Carriage Tzs	150,000
Import duty Tzs	45,000
Storage Tzs	50,000
Commission Tzs	80,000
Sales expenses Tzs	50,000

Required: Record above transaction in the books of consignor account and account sale statement.

8. The following is a summary of Mamantilie Enterprise's Bank and cash accounts for the year ended 31st December 2024.

Date	Details	folio	Cash	Bank	Date	Details	folio	Cash	Bank
2024					2024				
Jan 1	Balance	b/d	72,000	10170000	Dec 31	Creditors		-	6,480,000
					31	Rates		45000	180,000
Dec 31	Debtors		450,000	8,550,000		Sundry expenses		-	162,000
						Drawings		468000	-
					31	Balance	c/d	9000	274,5000
			522,000	9,567,000				522,000	9,567,000

The following information is also available

	31 Dec 2023		31Dec 2024	
Sundry debtors	Tzs	990,000	Tzs	1188000
Sundry creditors	Tzs	360,000	Tzs	585000
Rates accrued			Tzs	45000
Cash at bank	Tzs	1017000	Tzs	2745000
Cash in hand	Tzs	72,000	Tzs	9000
Inventory	Tzs	1431000	Tzs	1,530,000
Furniture	Tzs	720000	Tzs	648000

Required :

(a) Prepare income statement for the year ended 31st December 2024

(b) Prepare statement of financial position as at 31st December 2024.

9. In January 2022, Machanya and Shabibu entered into a joint venture for the purchases and sale of goods sharing profit and losses equally. The following transactions took place:

January 03:	Machanya bought goods for Tzs 3000000
January 07:	Machanya received a cheque from shabibu of Tzs 100,000
January 11:	Machanya paid sundry expenses Tzs 56,000 in connection with the purchase.
Januaary 26:	Shabibu sold goods worth Tzs 2000,000 for Tzs 2,900,000, incurring Tzs 20,000 as selling expenses.
January 28:	Machanya sold the remaining consignment for Tzs 1,300,000.
January 31:	Setllements were made concluding the joint venture and machanya paid Tzs. 8000 as his selling expenses.

Required:

(a) Write up the personal accounts of the co – ventures as they would appear in the books of each venture.

(b) Draw up the memorandum Joint venture account and dissolve the joint venture.